Public Competition Assessment

17 October 2013

Woolworths Limited - proposed acquisition of the Hawker Supa IGA

Introduction

1. On 4 July 2013, the Australian Competition and Consumer Commission (**ACCC**) announced its decision not to oppose the proposed acquisition of a supermarket in Hawker, ACT, branded as a Supa IGA (the **Hawker Supa IGA**), by Woolworths Limited (**Woolworths**) (**proposed acquisition**). The ACCC decided that the proposed acquisition would not be likely to have the effect of substantially lessening competition in the local retail supermarket market surrounding the Hawker Supa IGA in contravention of section 50 of the *Competition and Consumer Act 2010* (the **Act**).

2. The ACCC made its decision on the basis of the information provided by the parties to the acquisition (the **parties**) and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transactions where:
   - an acquisition is opposed;
   - an acquisition is subject to enforceable undertakings;
   - the parties to the acquisition seek such disclosure; or
   - an acquisition is not opposed but raises important issues that the ACCC considers should be made public.

4. This Public Competition Assessment has been issued because Woolworths' proposed acquisition of the Hawker Supa IGA was not opposed by the ACCC but is considered to raise issues of interest to the public.

5. By issuing Public Competition Assessments, the ACCC aims to provide the public with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on a case-by-case basis.

7. Public Competition Assessments outline the ACCC's principal reasons for forming views on a proposed acquisition at the time the decision was made. As such Public Competition Assessments may not definitively identify and explain all issues that the ACCC considers arise from a proposed acquisition. Further, the ACCC's decisions generally involve consideration of both non-confidential and confidential information provided by the parties and market participants. In order to maintain confidentiality, Public Competition Assessments do not contain any confidential information nor identify its sources.

The parties

The acquirer: Woolworths Limited

8. Woolworths is an Australian and New Zealand retailer. Its operations include supermarkets, fuel, liquor, general merchandise stores, hardware and home improvement.

9. Woolworths is Australia's largest grocery retailer. It operates over 800 supermarkets across Australia.

The target: Hawker Supa IGA

10. The Hawker Supa IGA is a 2,000m^2 supermarket in the Hawker Group Centre (**Hawker Centre**), a moderately sized retail precinct in the Belconnen district of north Canberra.

11. As an independently owned supermarket retailer, the Hawker Supa IGA operates within the IGA banner group under the Supa IGA banner. It is considered to be 'full line', meaning it is a large format supermarket which retails a full range of goods, including packaged groceries, fresh meat, bakery and deli products, fresh fruit and vegetables, and frozen foods. It also has a large liquor section with both chilled and non-chilled products.

12. The Hawker Supa IGA and the associated liquor licence are owned by Dealore Pty Ltd (**Dealore**), controlled by the Krnc family, which owns several supermarkets in Canberra and nearby areas of NSW.

Other industry participants

Coles

13. Coles is a large supermarket, liquor and fuel retailer. It operates over 700 supermarkets across Australia, and retails petrol under the Coles Express brand. Coles is owned by Wesfarmers Limited, an Australian listed public company with diverse business operations in the retail, resources, insurance, chemicals, energy, fertilisers and industrial sectors.

Metcash Limited

14. Metcash Limited (**Metcash**) is Australia's largest grocery, fresh produce, liquor and hardware wholesaler and distributor to independently owned retailers. Metcash's IGA Distribution business provides warehousing, distribution and marketing of grocery consumables to independent retailers operating under the IGA, Supa IGA and IGA Xpress supermarket brands and to other supermarkets which do not carry the IGA brand such as FoodWorks, Supabarn, SupaExpress and Supabarn Express. Metcash is also a wholesaler to bottleshops under banner groups including IGA Liquor, Cellarbrations, Thirsty Camel and the Bottle-O, and to hardware retailers under the Mitre 10 and True Value banners.

ALDI

15. ALDI is a privately-owned global supermarket operator that entered Australia in 2001. It has over 250 stores across NSW, the ACT, Queensland and Victoria. In February 2013 ALDI announced plans to expand its operations into South Australia and Western Australia.

16. ALDI can be characterised as a limited assortment discounter. Limited assortment discounters emphasise private label products, with less depth of product range than the full-line supermarkets (such as Woolworths and Coles). Various brands of limited assortment discounters operate internationally but in Australia ALDI is the only such operator with a significant network.

Supabarn

17. Supabarn is an ACT based, privately-owned business that independently operates or supplies a number of supermarkets in the ACT (seven stores) and NSW (five stores) trading under the Supabarn, SupaExpress and Supabarn Express banners.

SPAR

18. SPAR Australia is a grocery and packaged liquor wholesaler to around 300 independently owned supermarkets on the eastern seaboard of Australia under the SPAR, 5-STAR and Jardin Fresh Life banners.

FoodWorks

19. FoodWorks is an independent retail supermarket group with around 600 supermarkets in Australia.

The proposed transaction

20. Woolworths proposed to acquire the business, business assets and liquor licence of the Hawker Supa IGA from Dealore, and rebrand the supermarket as Woolworths. Following the proposed acquisition, Dealore would continue to own the building and the leasehold land on which the building is located, which would then be leased to Woolworths. As such, the vendor would become landlord to Woolworths after the proposed acquisition.

Review timeline

21. The following table outlines the timeline of key events in this matter.

Date	Event
15 October 2012	ACCC commenced review under the Merger Review Process Guidelines.
5 November 2012	Closing date for submissions from interested parties.
6 December 2012	ACCC published a Statement of Issues outlining preliminary competition concerns.
17 January 2013	Closing date for submissions relating to Statement of Issues.
18 January 2013	ACCC timeline suspended after Woolworths requested more time to respond to the Statement of Issues and an information request issued on 19 December 2012. Former proposed decision date of 7 February 2013 delayed pending receipt of the information.
28 February 2013	ACCC received further information from the merger parties. ACCC timeline recommenced.
10 May 2013	Former proposed decision date of 23 May 2013 delayed to allow the ACCC to complete additional market consultation before finalising its assessment.
4 July 2013	ACCC announced it would not oppose the proposed acquisition.

Statement of Issues

22. The ACCC published a Statement of Issues on 6 December 2012. In the Statement of Issues, the ACCC expressed a preliminary view that the proposed acquisition may have the effect of substantially lessening competition in the local retail supermarket market through the removal of an independent full-line supermarket that competes with other rivals in the market by providing a price and non-price offering that is unique to the local market.

23. In particular, the ACCC's market inquiries to that point had indicated that, as the only independent full-line supermarket in the local market, the Hawker Supa IGA competed strongly to attract customers by differentiating its offer in respect of:

- promotional pricing, through the Supa IGA promotional cycle, which is unique to the local market;

- elements of its product range, including products and brands unavailable at other supermarkets in the local market; and
- distinctive, high quality service.

24. The ACCC's preliminary view was that the proposed acquisition would replace the Hawker Supa IGA's differentiated offer with Woolworths' offer, which was already available nearby. The ACCC expressed concern that the competition provided by the Hawker Supa IGA could not be replaced by new entrants or other independent market participants, given high barriers to entry and expansion.

25. The ACCC also identified in the Statement of Issues that the proposed acquisition (being of a single supermarket) would be unlikely to pose competition concerns in state-wide retail and wholesale markets covering NSW and the ACT.

Market inquiries

26. The ACCC conducted market inquiries before and after it published its Statement of Issues, consulting a range of interested parties, including competitors, potential competitors, customers and the ACT Government. Submissions were sought in relation to the substantive competition issues.

27. Following the publication of the Statement of Issues, the ACCC commissioned Roy Morgan Research (**Roy Morgan**) to conduct customer surveys in the local area. The purpose of the surveys was to provide additional information to assist the ACCC in its assessment of the proposed acquisition and test whether the competitive response of the Hawker Supa IGA was so strong that, taken with other factors, its removal would be likely to lead to a substantial lessening of competition in a market.

28. Roy Morgan conducted two separate but related surveys:
    - an exit survey of 464 shoppers at the Hawker Supa IGA (at various intervals between 7 May 2013 and 23 May 2013 inclusive), who were interviewed upon their exit from the store (the **exit survey**); and
    - a telephone survey of 402 residents (at various intervals between 7 May 2013 and 13 May 2013 inclusive) in the surrounding suburbs of Hawker, Weetangera, Page, Scullin, Higgins, Macquarie and Cook (the **telephone survey**).

29. In particular, the surveys examined the food and grocery shopping behaviours of consumers in the local market, including:
    - which other retailers (including supermarkets and non-supermarkets) were considered by customers to be substitutes for the Hawker Supa IGA;
    - the extent to which customers preferred to shop at the Hawker Supa IGA because of its competitive activity on price, quality, range and service, as described in the Statement of Issues (see also paragraphs 22 and 23 above);
    - the extent to which customers used the Hawker Supa IGA for main grocery shopping trips and other types of shopping such as top-up shopping; and

- whether the proposed acquisition would have a meaningful detrimental impact on competition in the local market through a loss of consumer choice.

30. It is unusual for the ACCC to commission customer surveys for a merger review. However, in this case the ACCC considered it appropriate to do so to provide additional information to the ACCC to assist its assessment of the issues that had been raised in market inquiries, which suggested the Hawker Supa IGA competed strongly on price, quality, range and service to differentiate its offer. The ACCC does not plan to conduct surveys routinely in merger reviews, but will do so when it considers it appropriate.

Future with and without the acquisition

31. Section 50 of the Act prohibits mergers or acquisitions that would have the effect or be likely to have the effect of substantially lessening competition in any market. In assessing a proposed acquisition pursuant to section 50 of the Act, the ACCC considers the effects of the acquisition by comparing the likely future competitive environment if the acquisition proceeds (the “with” position) to the likely future competitive environment if the acquisition does not proceed (the “without” position) to determine whether the proposed acquisition is likely to substantially lessen competition in any relevant market.

32. In this case, the Hawker Supa IGA was found to be a profitable business which had recently undergone renovations and was likely to continue operating as an independent supermarket if the proposed acquisition did not proceed. As such, the ACCC considered that the appropriate ‘without’ position was a continuation of the status quo.

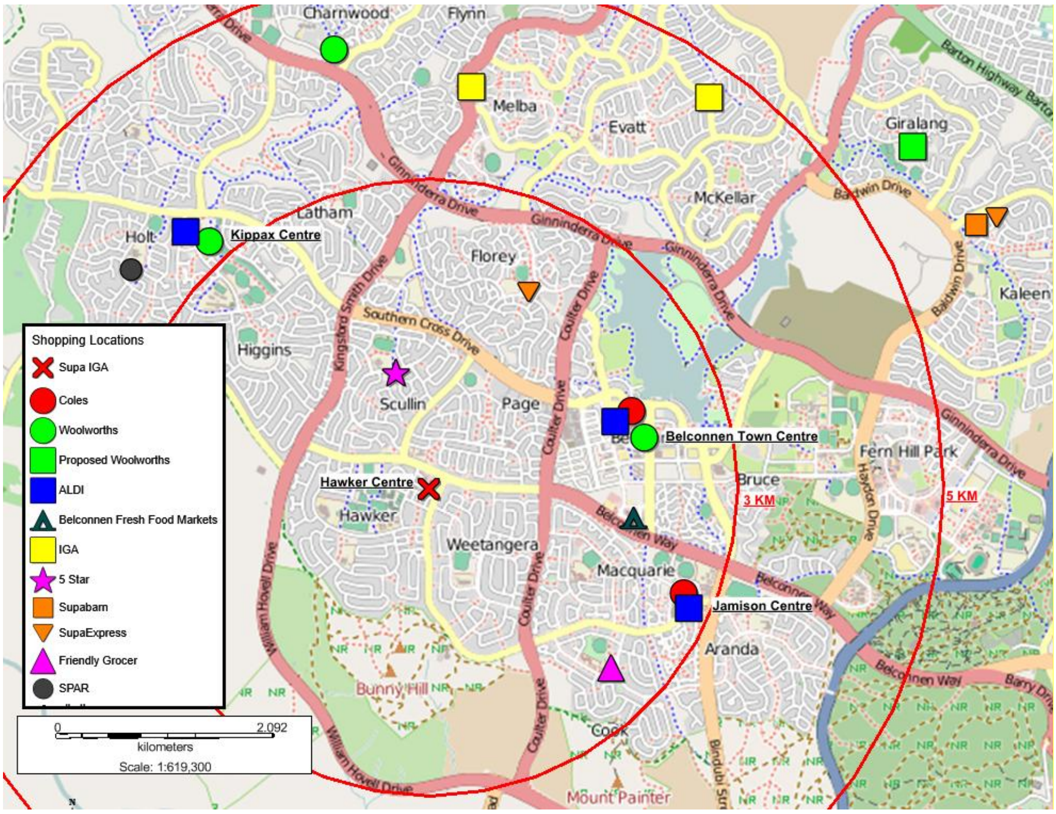
Competition analysis

33. The ACCC considered the extent of competition and whether the proposed acquisition was likely to lead to a substantial lessening of competition by replacing the competition provided by the Hawker Supa IGA with an offer from Woolworths that was already available locally.

Market definition

34. The relevant local market was considered to be the retail supply of grocery and household products by supermarkets to consumers (the **retail supermarket market**) in the local area surrounding the Hawker Supa IGA, including areas of southern and western Belconnen extending as far as the Belconnen Town Centre, Jamison Centre (in Macquarie) and the Kippax Centre (in Holt). Broadly, these areas are within a radius of 3km from the target (or just outside 3km for the Kippax Centre), as shown in the following map.

Figure 1: Map of area surrounding Hawker Supa IGA



Product dimension

35. The ACCC considered the extent to which other retail outlets are close substitutes for the Hawker Supa IGA, and therefore whether they should be considered part of the relevant market. These retail outlets included:

- full-line supermarkets, such as those typical of the major supermarket chains;
- limited assortment discounters (i.e. ALDI);
- smaller format supermarkets in neighbourhood shopping precincts;
- ‘fresh food markets’, which bring together a range of specialist food retailers in a single location; and
- specialist food retailers such as butchers, bakers and greengrocers.

36. Supermarkets offer customers the ability to purchase grocery and household items across multiple product categories and departments. In this regard, they can be distinguished from fresh food market retailers and specialist food retailers that each offer a narrower range of products. While these retailers compete with supermarkets to some extent, the ACCC did not consider them to be sufficiently close substitutes for supermarkets that bring together multiple categories in one store and facilitate a single transaction.

37. The ACCC considered that supermarkets with a similar offer in terms of their format, size of store, breadth / depth of product range and service were likely to be closer substitutes. While the Hawker Supa IGA is a smaller full-line supermarket than the nearby Coles and Woolworths full-line supermarkets, it

offers a similarly wide range of groceries, delicatessen and fresh produce, with multiple brands of common products across multiple categories.

38. Limited assortment discounters and smaller format supermarkets were also considered to be in the same product market, albeit less close substitutes given their shallower product range than full-line supermarkets.

39. The above findings are based on the ACCC's market inquiries in this and other supermarket investigations, and on the customer surveys. In the customer surveys, respondents who had shopped at the Hawker Supa IGA were asked where they would have shopped if the Hawker Supa IGA had been unavailable.[1] Their responses are summarised in Table 1.

Table 1: Substitutes for the Hawker Supa IGA[a]

Location	Telephone survey % of respondents[b,c]	Exit survey % of respondents[b,c]
Jamison Centre: Coles	67	44
Jamison Centre: ALDI	23	8
Kippax Centre: Woolworths	17	16
Westfield Belconnen: Coles	17	7
Westfield Belconnen: Woolworths	15	6
Cook: Friendly Grocer	8	3
Belconnen Markets: Various	5	2
Kippax Centre: ALDI	5	3
Jamison Centre: Green Grocer and Deli	5	*
Florey Shops: SupaExpress	4	7
Westfield Belconnen: ALDI	4	3
Nowhere (would not have shopped)	*	9
Number of respondents	*250*	*464*

Source: Roy Morgan telephone survey and exit survey.

Notes: a) Responses to question: where customers would shop if the Hawker Supa IGA had been unavailable.

b) Numbers of respondents are: for the telephone survey, the number of respondents who had shopped at the Hawker Supa IGA in the past four weeks; and for the exit survey, of all respondents.

c) Customers were permitted to give multiple responses and therefore percentages do not add to 100 per cent.

** zero or rounds to zero.*

40. As shown in Table 1, the evidence indicated a preference by consumers to switch to other supermarkets, rather than specialist retailers.

41. Given the considerations above, the ACCC concluded that the product dimension of the relevant market was the retail supermarket market.

[1] Of the total 402 respondents to the telephone survey, 152 had not shopped at the Hawker Supa IGA in the past four weeks. These respondents were not asked this question.

Geographic dimension

42. Consistent with the ACCC's preliminary views in the Statement of Issues, the ACCC found that the relevant geographic dimension of the local market extends to about 3km from the target site and includes the supermarkets at Jamison Centre (in Macquarie), Kippax Centre (in Holt) and Belconnen Town Centre (Westfield Belconnen), and the suburbs in between. This conclusion was informed by the survey results and other information, which showed that customers did not view supermarkets any further afield as a sufficiently close substitute for the Hawker Supa IGA to include them in the same local market. The information indicated that customers were only willing to travel short distances to access a substitute supermarket.

Closeness of competition between market participants

43. The ACCC takes into account the closeness of competition or rivalry between competing firms in the market to determine which firms exert the most competitive constraint on one another. If a merger involves firms that are considered by a significant proportion of their customers to be close competitors, then competition concerns are more likely to be raised if this rivalry is lost as a result of a merger.

44. Based on the survey results and other available information showing customers' shopping preferences, the ACCC found Woolworths' supermarkets not to be close rivals with the Hawker Supa IGA, relative to other competitors, especially the Coles supermarket at the Jamison Centre (**Coles Jamison**). In particular, the Woolworths supermarket at the Kippax Centre in Holt was found by customers to be a relatively weak substitute, given the short distances customers were willing to travel for an alternative supermarket, and the Kippax Centre's more distant location to the north-west.

45. The other Woolworths supermarket is situated within a large, multi-level, Westfield shopping centre at Belconnen Town Centre. There is also a Coles and ALDI there. Even though these supermarkets are closest geographically to the Hawker Supa IGA, the surveys clearly indicated that the Woolworths supermarkets were a less close substitute than Coles Jamison and ALDI at the Jamison Centre (see Table 1). While 67 per cent of telephone survey respondents and 44 per cent of exit survey respondents nominated Coles at the Jamison Centre as a substitute for the Hawker Supa IGA, each of the supermarkets at Westfield Belconnen were identified as a substitute by no more than 17 per cent of respondents to either survey. The ACCC observed that a likely contributing factor for the weaker level of constraint imposed on the Hawker Supa IGA by Woolworths and the other supermarkets at Westfield Belconnen was that access through a multi-level car park and shopping mall was more difficult than ground-level access at other shopping centres in the local market.

46. The ACCC found that Coles Jamison posed the strongest constraint on the Hawker Supa IGA. The Jamison Centre is located in the suburb of Macquarie, about 2.7km south-east of the Hawker Supa IGA in a straight line. It is an easily accessible shopping centre on a single level with good parking, and also has an ALDI supermarket. Coles Jamison provides a full-line offer, suitable for a variety of shopping trip purposes (e.g. a main grocery shop or a top-up shop).

47. The customer surveys demonstrated that Coles Jamison was seen as a substitute by far more of the Hawker Supa IGA's customers than any other shopping destination. They also showed that even regular shoppers at the Hawker Supa IGA also undertake their shopping at the Jamison Centre. These results indicated that Coles Jamison was a much closer constraint on the Hawker Supa IGA than the Woolworths supermarkets in the local market.

48. The ACCC found that ALDI also provides competitive tension in the local market, especially at the nearby Jamison Centre, given there is also a Coles at that centre and given its proximity to the Hawker Centre. While ALDI provides price competition, as a limited assortment discounter it generally does not provide the same depth of range as a full-line supermarket. Table 1 shows that some customers of the Hawker Supa IGA, especially those canvassed in the telephone survey, considered ALDI to be a substitute. However, in each location where there was an ALDI and a full-line supermarket (the Jamison Centre, Kippax Centre and Westfield Belconnen), ALDI was the weaker preference. The ACCC noted that some consumers use ALDI to complement their main grocery shop, and therefore shop at both ALDI and a full-line supermarket.

49. The ACCC found the independent stores in the local market (other than Hawker Supa IGA) were smaller format stores and therefore exercised a weaker competitive constraint on full-line supermarkets. Nevertheless, these stores are attractive to some consumers, especially those that make small grocery purchases (e.g. to buy products for immediate use). However the ACCC found the SPAR store in Holt did not provide a meaningful constraint on the Hawker Supa IGA, because of the distance between them.

50. Accordingly, the ACCC considered the strongest constraints on the Hawker site were the supermarkets located at Jamison. While the Woolworths at Kippax and Westfield Belconnen are clearly substitutes, the survey indicated that they are less close substitutes for the Hawker Supa IGA than the Jamison supermarkets. After the proposed acquisition, Woolworths would replace the Supa IGA at Hawker and compete most closely with the Coles and ALDI at Jamison. Accordingly, if Coles had sought to acquire the Hawker Supa IGA it would have raised different and potentially more significant competition concerns.

Competitive behaviour of the Hawker Supa IGA

51. The ACCC's conclusion that Woolworths' supermarkets in the local market were weaker constraints than those at the Jamison Centre was relevant to the ACCC's conclusion that the proposed acquisition would not be likely to lead to a substantial lessening of competition. However, as outlined earlier, market inquiries had indicated that the Hawker Supa IGA competes to attract customers from its rivals by differentiating its offer. Part of the ACCC's review therefore focused on whether the loss of this competitive response would be likely to lead to a substantial lessening of competition in any market.

52. The ACCC drew on information from various sources, including the customer surveys, market inquiries and confidential information provided by the parties about their supermarkets. The customer surveys provided the ACCC with additional information about the competitive process. Respondents to the exit survey were asked to identify the main reasons they shopped at the Hawker Supa IGA. Respondents were also asked to identify the other grocery shopping destination where they had spent the most money in the past four weeks, and the main reasons they shopped there. Table 2 summarises the results.

Table 2: Main reasons for visiting the Hawker Supa IGA and main other grocery shopping destination[a]

Main reasons	Hawker Supa IGA % of respondents[b,c]	Main other destination % of respondents[b,c]
Location		
Close to home	81	32
Close to work or other destination	14	12
Close to other shops I visit	9	11
Parking		
Good parking	44	13
Price		
Good ordinary shelf prices or good everyday prices	10	41
Promotional pricing or good specials	13	9
Quality		
Quality of the products	15	9
Layout, cleanliness or other physical characteristics	16	5
Range		
Range of products stocked	30	29
Good store for liquor	9	*
Availability of your favourite brands	16	9
Has products you can't easily get elsewhere	11	7
Service		
Customer service or the staff	31	4
Opening hours	23	10
Speed of service at checkouts	26	4
Other		
Prefer small/independent businesses	4	1
Dislike Coles and Woolworths	3	*
Loyalty scheme / fuel dockets	*	4
Total number of respondents	*464*	*425*

Source: Roy Morgan exit survey.

Notes: a) Responses to question: main reasons for shopping at Hawker Supa IGA or (for right-hand column) at the customer's main grocery shopping destination (where they had spent the most money on groceries in the past four weeks other than at the Hawker Supa IGA).

b) Numbers of respondents are: for Hawker Supa IGA (left-hand column), the number of all respondents that had shopped at Hawker Supa IGA in the past four weeks; and for main other destination (right-hand column), the number of respondents that had also shopped at another grocery shopping destination in the past four weeks.

c) Customers were permitted to give multiple responses and therefore percentages do not add to 100.

** denotes zero or rounded to zero.*

53. In addition to identifying the main reasons they shopped at the Hawker Supa IGA, respondents were also asked to identify the most important reason they shopped at the Hawker Supa IGA and at their main other grocery shopping destination (see Table 3).

Table 3: Most important reason for visiting the Hawker Supa IGA and main other grocery shopping destination[a]

Most important reason	Hawker Supa IGA % of respondents[b,c]	Main other destination % of respondents[b,c]
Location		
Close to home	58	19
Close to work or other destination	9	8
Close to other shops I visit	2	4
Parking		
Parking	5	2
Price		
Good ordinary shelf prices or good everyday prices	*	29
Promotional pricing or good specials	2	2
Quality		
Quality of the products	*	4
Range		
Range of products stocked	4	13
Has products I can't easily get elsewhere	2	3
Availability of my favourite brands	*	2
Service		
Customer service or staff	4	*
Speed of service at checkouts	2	*
Other		
Don't like Coles/Woolworths	2	*
Total number of respondents	*464*	*425*

Source: Roy Morgan exit survey.

Notes: a) Responses to question: most important reason for shopping at Hawker Supa IGA or (for right-hand column) at the customer's main grocery shopping destination (where they had spent the most money on groceries in the past four weeks other than at the Hawker Supa IGA).

b) Numbers of respondents are: for Hawker Supa IGA (left-hand column), the number of all respondents that had shopped at Hawker Supa IGA in the past four weeks; and for main other destination (right-hand column), the number of respondents that had also shopped at another grocery shopping destination in the past four weeks.

** denotes less than two per cent. Categories with less than two per cent in both columns are not shown.*

54. The results from the telephone survey (not shown) were broadly similar to the results from the exit survey (identified in Table 2 and Table 3 above). Each of the attributes of the Hawker Supa IGA's competitive position is considered in more detail below.

Location and parking

55. As shown in Table 2, over 80 per cent of respondents identified location (close to home) as a main reason for shopping at the Hawker Supa IGA. In addition, 58 per cent of respondents identified it as the most important reason for shopping there (see Table 3). The ACCC found that the Hawker Supa IGA provided a convenient shopping option for consumers that lived nearby, but did not attract many customers from outside the suburbs immediately surrounding it (as compared to other major supermarkets in the local area). Most of the customers that shop at the Hawker Supa IGA live in Hawker or one of the four nearby suburbs of Page, Weetangera, Scullin or Higgins (78 per cent of respondents in the exit survey).

56. Parking facilities were also rated highly by respondents. Location and parking will always be important factors in customers' decisions about where to shop for groceries. Therefore it was still important to understand the competitive effect of other aspects of the Hawker Supa IGA's offer (as discussed below). Nevertheless, in this case it was notable that the importance of location was substantially lower for the main other shopping destination that customers identified.

57. The ACCC noted that the proposed acquisition would not change the location of the supermarket at the Hawker Centre, nor would it change parking facilities in the foreseeable future. The ACCC also noted that there is an ACT Government imposed moratorium on any development at the Hawker Centre until February 2015.

Price, quality, range and service

58. Initial market feedback had indicated that the Hawker Supa IGA competed strongly on non-price aspects (quality, range and service), and to a lesser extent on price. The ACCC found that while the Hawker Supa IGA does seek to differentiate itself from the major supermarket chains by competing on these aspects of its offer, the significance of its competitive behaviour to competition in the broader local market was more limited than initial inquiries had indicated.

Price

59. The Hawker Supa IGA (as part of the IGA chain) offers a weekly promotional cycle, advertised through a weekly catalogue. It also offers its own in-store discounting (e.g. manager specials) on particular products. Other supermarket chains such as Coles, Woolworths and ALDI also run their own promotional cycles.

60. The ACCC found the promotional cycle of the Hawker Supa IGA (as part of the IGA network) was attractive to customers. As the only Supa IGA in the local market, the Hawker Supa IGA's promotional cycle was unique in that market. However, the ACCC considered that consumers would continue to have the opportunity to shop at a variety of supermarkets within the local market in order to benefit from various promotional offers.

61. By contrast, ordinary shelf prices did not rate highly in the surveys as a reason for visiting the Hawker Supa IGA, compared to other supermarkets. Other

aspects of the Hawker Supa IGA's offer were more important reasons why customers shopped there, including quality, range and service.

Quality

62. Market participants may respond competitively by promoting a high level of quality, both in terms of product quality and their total retail offer. The results of the customer surveys showed that some customers valued the quality of products and total retail offer at the Hawker Supa IGA. These perceptions of quality are consistent with the ACCC's market inquiries which had indicated the quality of products and the overall presentation of the Hawker Supa IGA to be of a high standard.

Range

63. The ACCC compared products available at the Hawker Supa IGA and Woolworths. It also considered the range of products offered by other market participants more broadly. These comparisons revealed that the vast majority of products stocked by the Hawker Supa IGA were common grocery products and household goods that could be found in most supermarkets. Only a small number of products were not available at other supermarkets. Nevertheless, the ACCC did note that certain differentiated products were placed prominently in the supermarket. They appeared to be positioned so as to encourage customers into the store to buy a broader basket of products. The customer surveys showed that the Hawker Supa IGA's product range attracted some customers to the supermarket, including those who perceived that the Hawker Supa IGA had products that couldn't be purchased easily elsewhere.

Service

64. Another non-price aspect by which market participants compete to attract shoppers is the level of service. The ACCC received a number of submissions from consumers suggesting that the Hawker Supa IGA offers higher levels of service than its competitors. This is consistent with the survey results which showed that customers were more likely to visit the Hawker Supa IGA because of its service, than they were to visit other supermarkets because of their service.

Conclusion on competitive behaviour of the Hawker Supa IGA

65. The ACCC's inquiries, including the customer surveys, showed clearly that customers valued aspects of the differentiated offer of the Hawker Supa IGA, especially its service and quality. This represents an element of competition that would be lost from the local market as a result of the proposed acquisition. However, it was also relevant that the Hawker Supa IGA's differentiated offer did not appear sufficient to draw many customers from beyond the closest surrounding suburbs.

Barriers to entry

66. The ACCC did not receive any new information in response to the Statement of Issues that would change its preliminary position on barriers to entry. The local market is characterised by high barriers to entry for establishing a new supermarket, or expanding an existing one. These barriers include a scarcity of

suitable sites, regulatory restrictions on expansion activity, lead times and sunk costs.

Conclusion on local retail supermarket market

67. The ACCC concluded that the proposed acquisition would result in some loss of competition, but that it was insufficient to reach the threshold of a substantial lessening of competition required to establish a breach of s.50 of the Act.

68. A significant factor for the ACCC in reaching this conclusion was that Woolworths did not have a strong competitive location in relation to the Hawker site, compared to Coles and ALDI at the Jamison Centre. As a consequence, the Hawker Supa IGA and Woolworths supermarkets in the local market were not close competitors. The conclusion may have been different if Coles were the acquirer, given the nearby Coles and the closeness of competition between the Jamison Centre and Hawker Centre sites.

69. The competitive behaviour of the Hawker Supa IGA in terms of its differentiated offer was attractive to some customers, and that competitive dynamic would be lost as a result of the proposed acquisition. However, the Hawker Supa IGA's differentiated offer was not strong enough to attract customers from beyond the suburbs immediately surrounding it. Therefore, with Woolworths as the acquirer, the ACCC concluded on balance that the lessening of competition was not substantial.

Competition analysis – state-wide retail supermarket market

70. The ACCC also considered whether the proposed acquisition would be likely to have the effect of substantially lessening competition in the retail supermarket market in NSW and the ACT. The ACCC found that this would be unlikely because the transfer of a single supermarket would result in only a very small increase in state wide market share for Woolworths. Further, it would not result in a reduction in the number of operators and retail chains competing with Woolworths on a state-wide level. It would therefore not be likely to have a substantial impact on competition in the state-wide market.

Competition analysis – wholesale procurement and supply markets

71. The ACCC also considered whether the proposed acquisition would be likely to lead to a substantial lessening of competition in the wholesale procurement and supply of grocery products sold in supermarkets in NSW and the ACT. The ACCC found that the sale of the Hawker Supa IGA to Woolworths on its own would be unlikely to have a substantial effect on the viability of wholesale operations, either for existing competitors or potential new entrants. Further, the ACCC considered that the lost volume from this single supermarket would be unlikely to have a significant effect on competition in the wholesale procurement market.

Conclusion

72. On the basis of the reasons set out above, the ACCC formed the view that the proposed acquisition of the Hawker Supa IGA by Woolworths would not be likely to have the effect of substantially lessening competition in any market in contravention of section 50 of the Act.